Week 2

When is an Idea an Opportunity?



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Acknowledgement of Country

We respectfully acknowledge the Wurundjeri People of the Kulin Nation, who are the Traditional Owners of the land on which Swinburne's Australian campuses are located in Melbourne's east and outer-east, and pay our respect to their Elders past, present and emerging.

We are honoured to recognise our connection to Wurundjeri Country, history, culture, and spirituality through these locations, and strive to ensure that we operate in a manner that respects and honours the Elders and Ancestors of these lands.

We also respectfully acknowledge Swinburne's Aboriginal and Torres Strait Islander staff, students, alumni, partners and visitors.

We also acknowledge and respect the Traditional Owners of lands across Australia, their Elders, Ancestors, cultures, and heritage, and recognise the continuing sovereignties of all Aboriginal and Torres Strait Islander Nations.



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Learning Objectives

- Explain the difference between opportunities and ideas.
- Describe the three general approaches entrepreneurs use to identify opportunities.

What is an idea?

An idea is a thought, an impression, or a notion that may or may not meet the criteria of an opportunity.

- Before getting excited about a business idea, it is crucial to understand if the idea fills a need and satisfies the criteria for an opportunity.



Ideas

Idea

- Instructions or Recipes that can be stored outside human brain

Economic Idea

- Ideas created with the intention to make money

Profitable Idea

- Economic ideas with profit.

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Idea and Opportunity



An idea is not necessarily an opportunity



An opportunity (to create a sustainable profitable venture) is based on a good idea

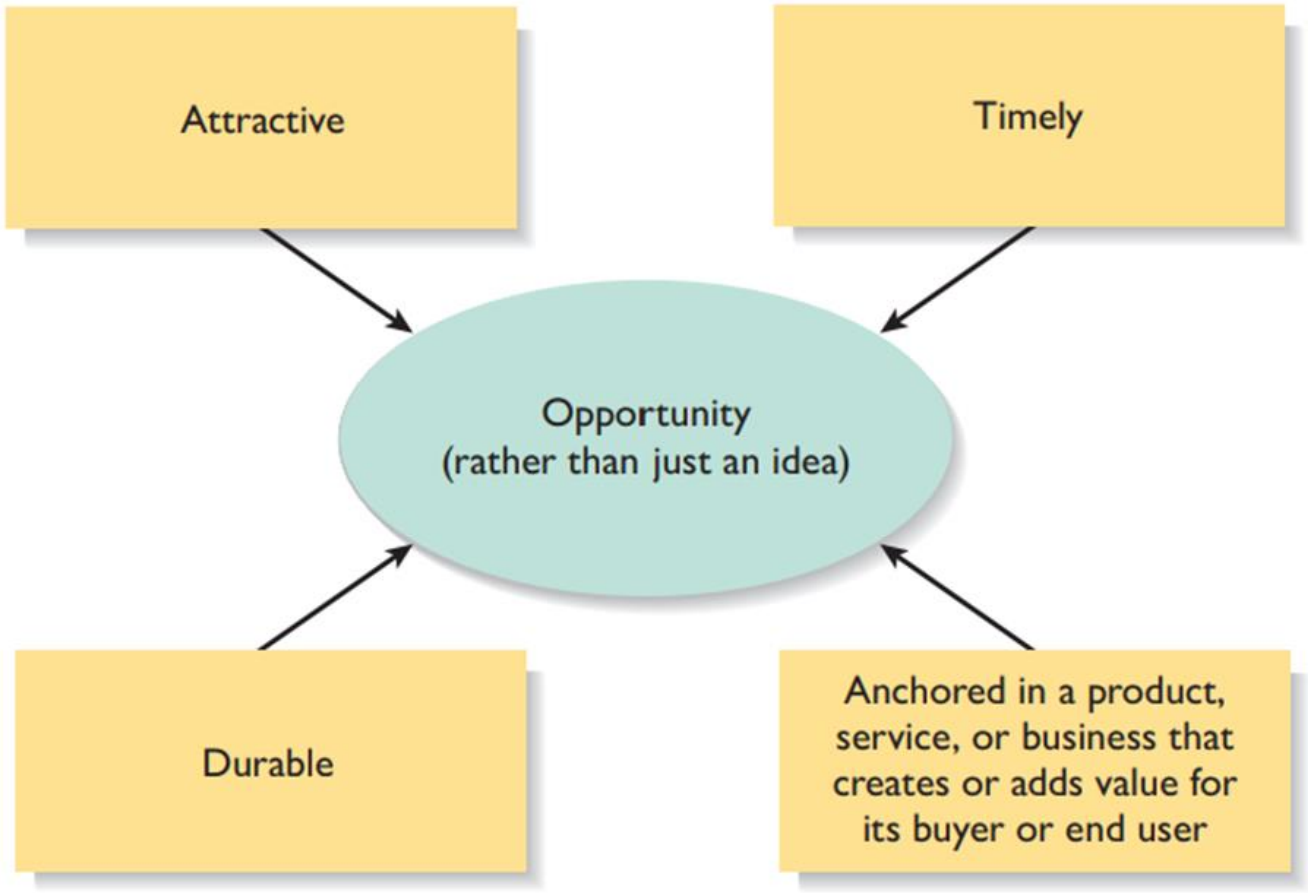
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What is an opportunity?

- An opportunity is a favourable set of circumstances that creates a need for a new product, service, or business.
- Entrepreneurs recognize opportunity gaps and create businesses to fill them.
  - For an entrepreneur to capitalize on an opportunity, its window of opportunity must be open.
  - The term window of opportunity is a metaphor describing the time in which a firm can realistically enter a new market.



Four Essential Qualities of an Opportunity



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Three Ways to Identify Opportunities

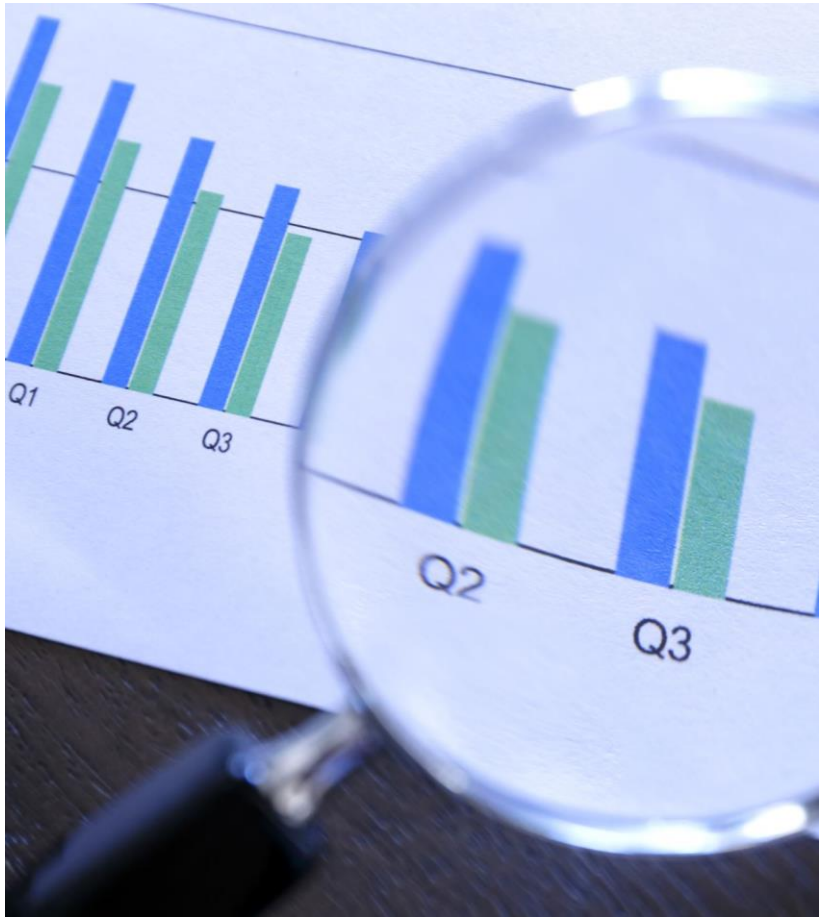
Observing Trends

Solving a Problem

Finding Gaps in the Marketplace

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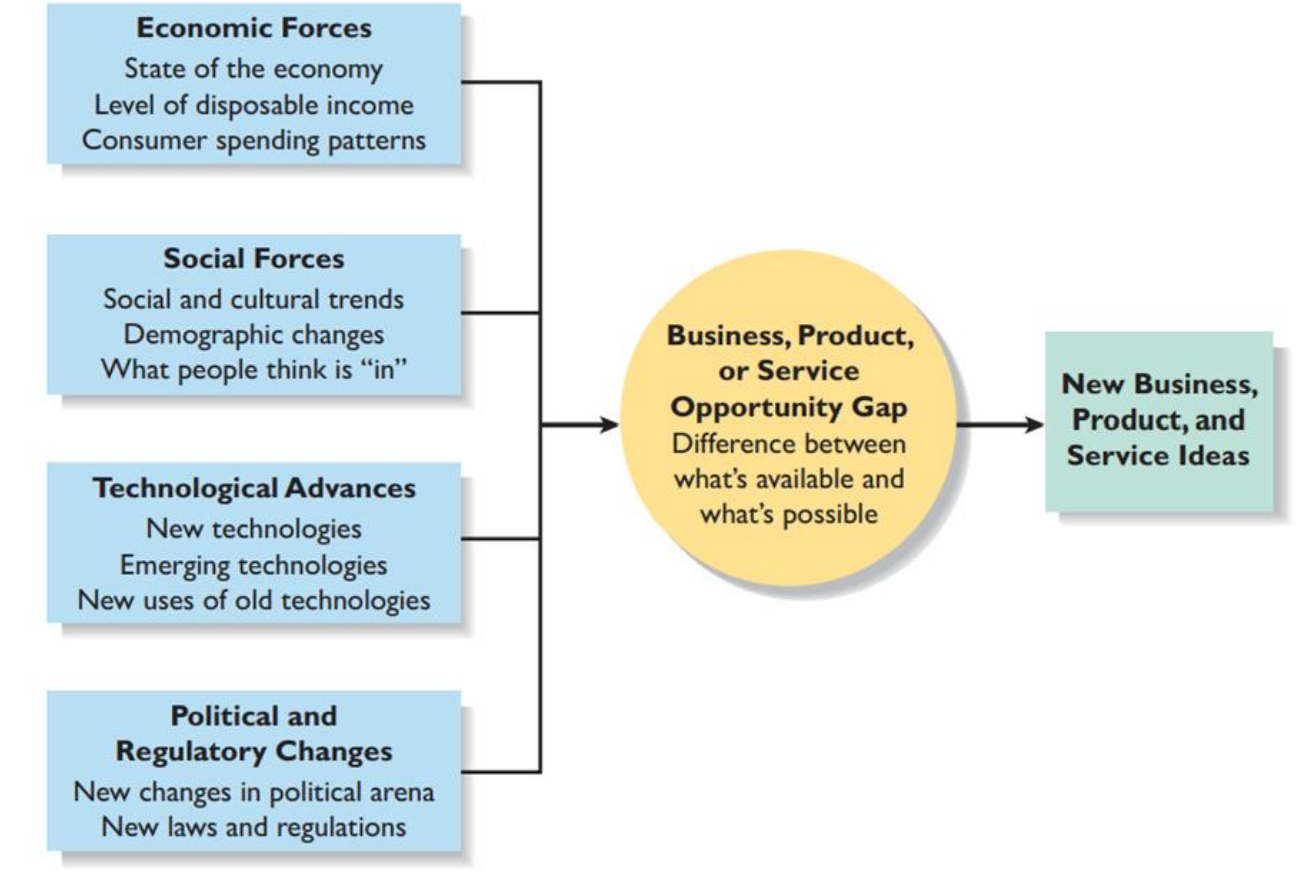
First Approach: Observing Trends



- Trends create opportunities for entrepreneurs to pursue.
- The most important trends are (PEST framework):
  - Political and regulatory changes
  - Economic forces
  - Social forces
  - Technological advances
- It's important to be aware of changes in these areas.

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Environmental Trends Suggesting Business, Product, or Service Opportunity Gaps



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Political Action and Regulatory Changes

Political change engenders new business and product opportunities.

- For example, global political instability and the threat of terrorism have resulted in many firms becoming more security conscious.

Cybersecurity is another threat for many nations and companies competing within them.

- Claroty is a cybersecurity startup providing its clients with a full range of cybersecurity controls for visibility, threat detection, risk, and vulnerability.

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Economic Forces

Economic trends help determine areas that are ripe for new start-ups and areas that start-ups should avoid.

Example of Economic Trend Creating a Favourable Opportunity

- A weak economy favours start-ups that help consumers save money.
- Comparison websites for products and services could be relevant start up

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Social Forces

Social trends alter how people and businesses behave and set their priorities.

- **Examples of Social Trends**
  - Aging of the population
  - The increasing diversity of the population
  - Shifting attitudes and buying behaviors of Gen Z
  - Emphasis on sustainability
  - A focus on physical fitness, mental health, and wellness
  - Desire for connection to people and brands
  - Desire for more flexible work schedules

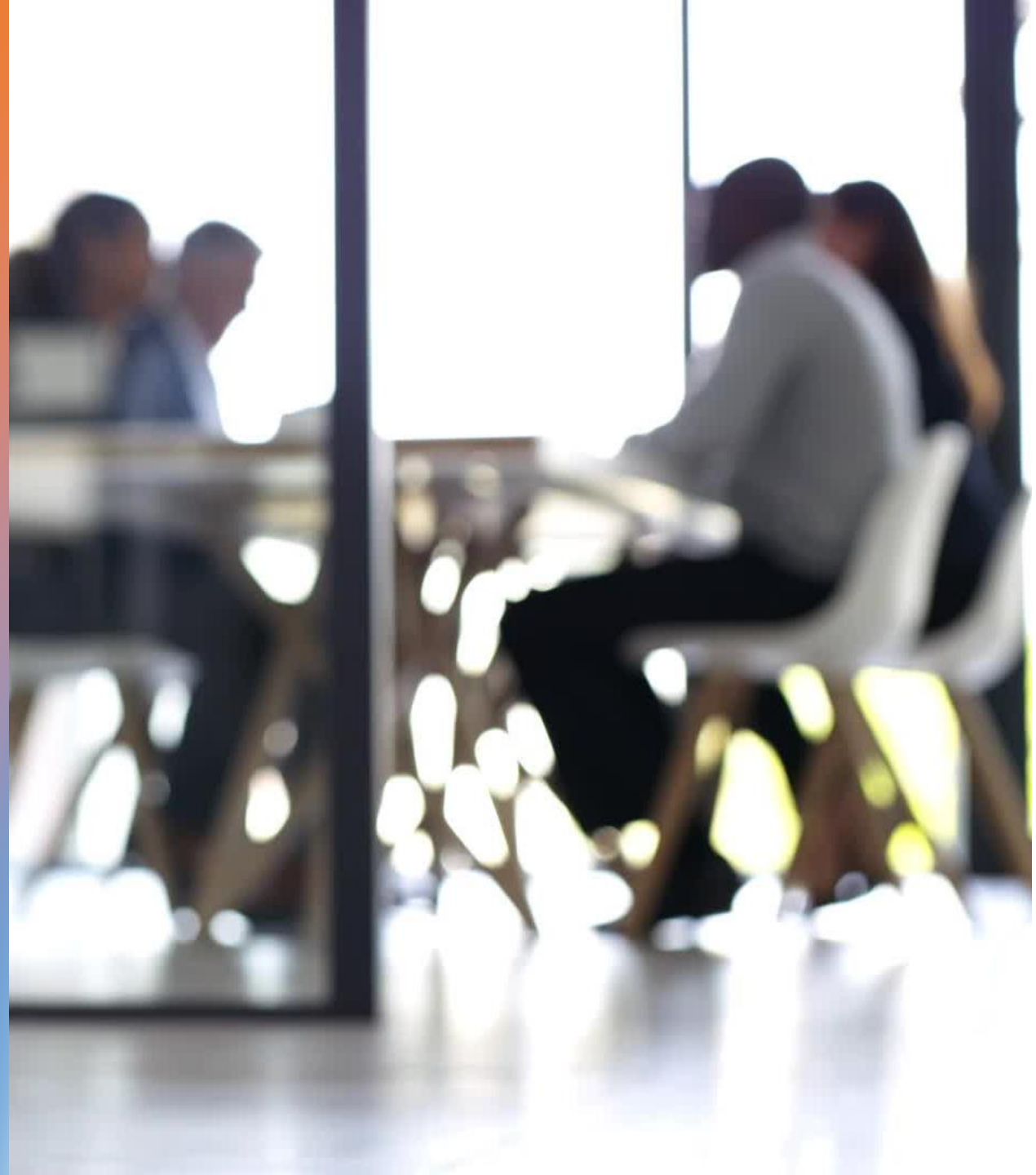
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Technological Advances

Advances in technology frequently create business opportunities:

- Artificial intelligence is helping startups provide enhanced products and services.
- Entire industries have been created as the result of technological advances
  - Compatible products for Apple iPhone, such as smart watches, wearable devices, bluetooth headphones.
  - Mobile apps.

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Second Approach: Solving a Problem

Sometimes identifying opportunities simply involves noticing a problem and finding a way to solve it.

- These problems can be pinpointed through observing trends and through more simple means, such as intuition, serendipity, or chance.
- Many companies have been started by people who have experienced a problem in their own lives, and then realised that the solution to the problem represented a business opportunity.
  - **Dropbox**: Drew Houston, the founder, kept forgetting his USB drive. This frustration led him to create Dropbox, a cloud storage service.

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Second Approach: Solving a Problem

Technological advances often result in problems for people who want to use the new technology but lack training to do so or it is not convenient for them to use it.

The advent of electric cars spawned an entire industry to help people recharge their cars while they are away from home.

EV Safe Charge is one startup with a solution to this problem. EV Safe Charge provides nationwide safe, reliable, and robust residential and commercial electric vehicle charging solutions

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Third Approach: Finding Gaps in the Marketplace

A gap in the marketplace is often created when a product or service is needed by a specific group of people but doesn't represent a large enough market to be of interest to mainstream retailers or manufacturers.

- Daisy Rock Guitars are made specifically for women and girls.



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Thank you

